Comparative Governance & Financial Stability Analysis

Wells Fargo vs JPMorgan Chase

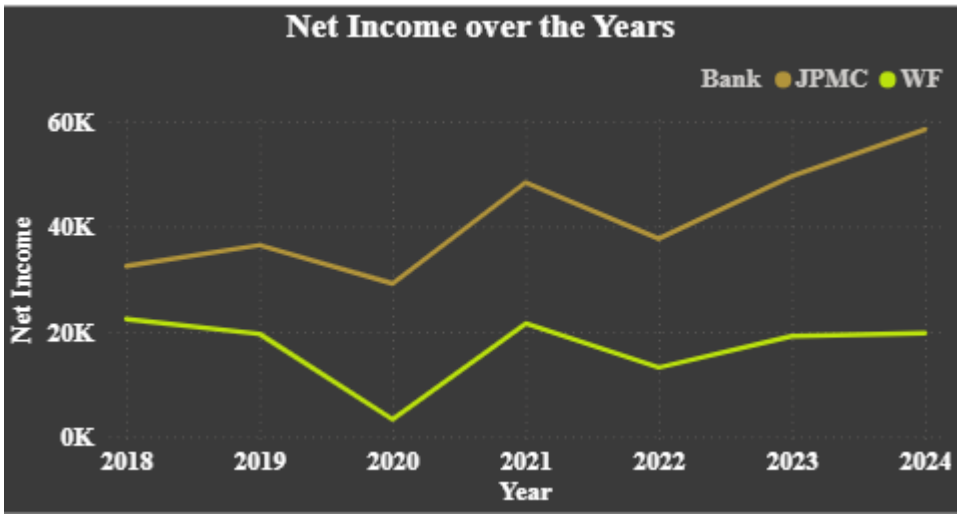
Multi-Year Financial Evaluation (FY2018–FY2024)

1.1 Objective

This section presents a high-level comparison of profitability, return efficiency, and operational consistency between Wells Fargo and JPMorgan Chase over the study period.

The objective is to evaluate which institution demonstrates stronger and more stable financial performance from a governance perspective.

1.2 Net Income Trend Analysis



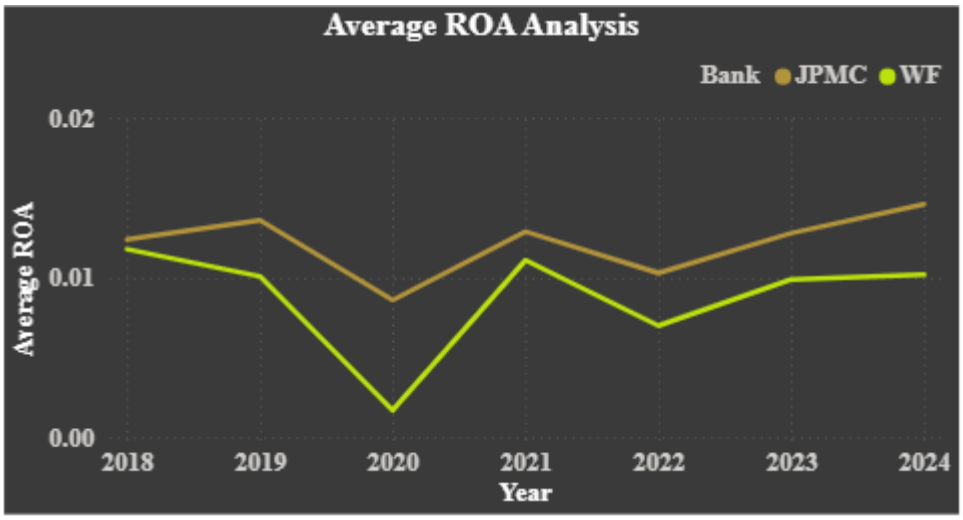
The net income trend illustrates multi-year earnings performance for both banks.

Observations:

- JPMorgan maintained consistently higher net income levels across most years.
- Wells Fargo experienced a significant dip around FY2020, followed by gradual recovery.
- Earnings volatility appears more pronounced for Wells Fargo.

Insight:
JPMorgan demonstrates stronger earnings stability, while Wells Fargo shows recovery-driven performance.

1.3 Return on Assets (ROA) Analysis



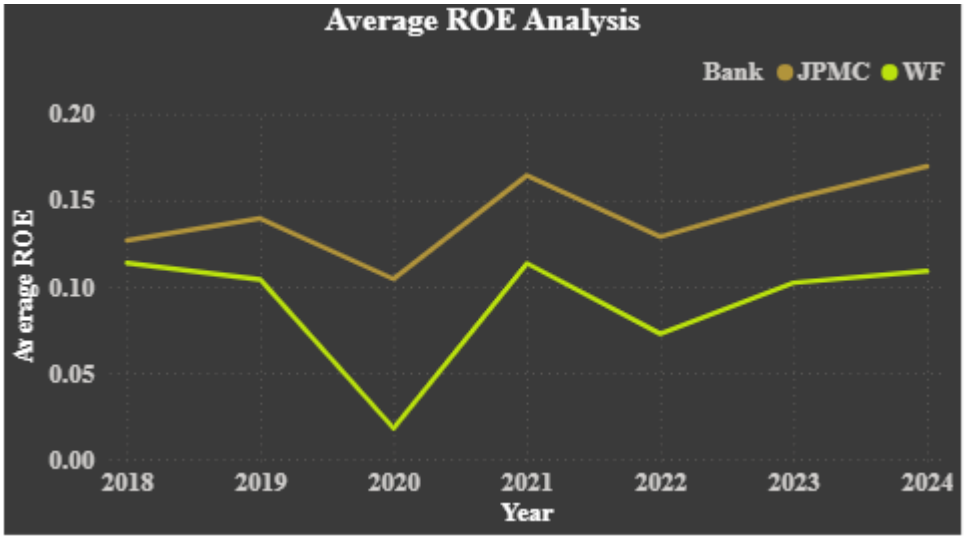
ROA evaluates asset utilization efficiency.

Observations:

- JPMorgan consistently maintains higher ROA.
- Wells Fargo's ROA shows noticeable fluctuation during stressed periods.
- Post-2021, both banks show improvement trends.

Insight:
JPMorgan demonstrates stronger asset efficiency and return consistency.

1.4 Return on Equity (ROE) Analysis



ROE reflects shareholder capital efficiency.

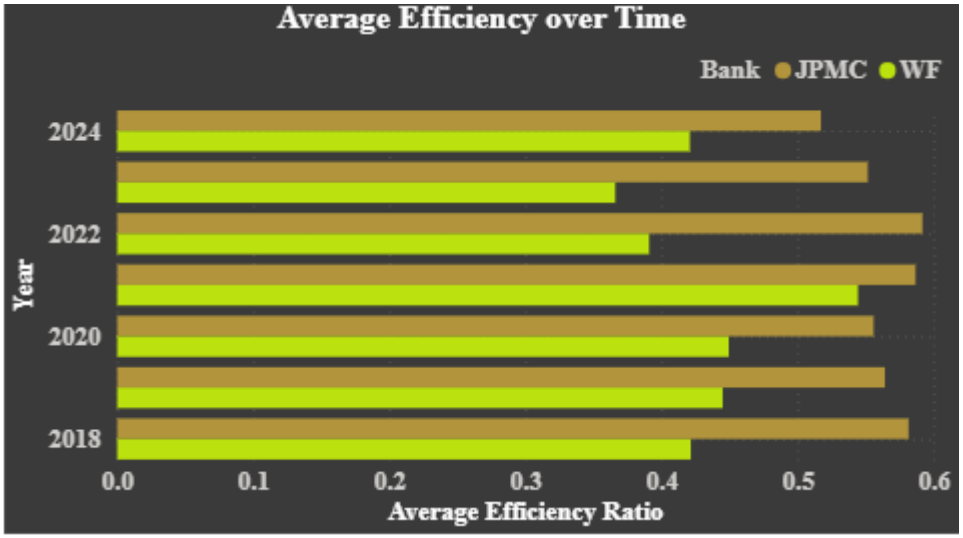
Observations:

- JPMorgan maintains stable and relatively higher ROE levels.
- Wells Fargo's ROE declined sharply during FY2020 but improved thereafter.

- The recovery path for Wells Fargo reflects restructuring efforts.

Insight:
JPMorgan shows disciplined capital allocation, while Wells Fargo exhibits recovery-oriented improvement.

1.5 Efficiency Ratio Analysis



Efficiency ratio measures operating cost discipline.

Observations:

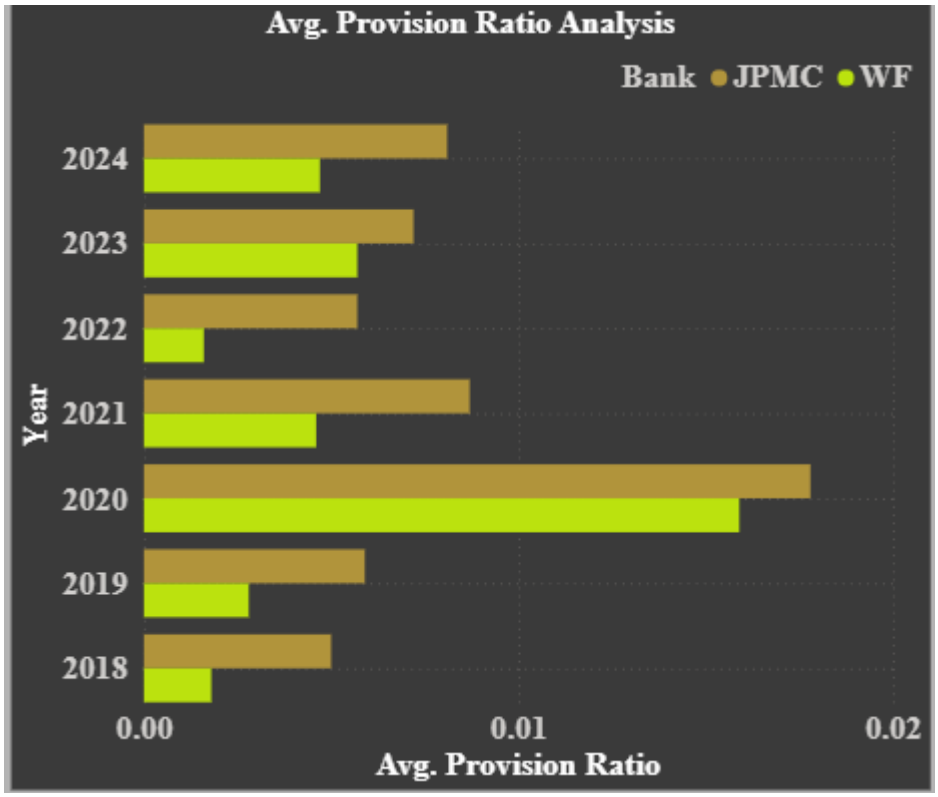
- JPMorgan shows relatively stable efficiency ratios.
- Wells Fargo demonstrates higher variability.
- Efficiency improvement post-2021 is visible in both banks.

Insight:
Operational discipline appears more stable for JPMorgan across the study period.

2.1 Objective

This section evaluates credit risk discipline through provisioning behavior and reserve adequacy relative to total loan exposure.

2.2 Provision Ratio Analysis



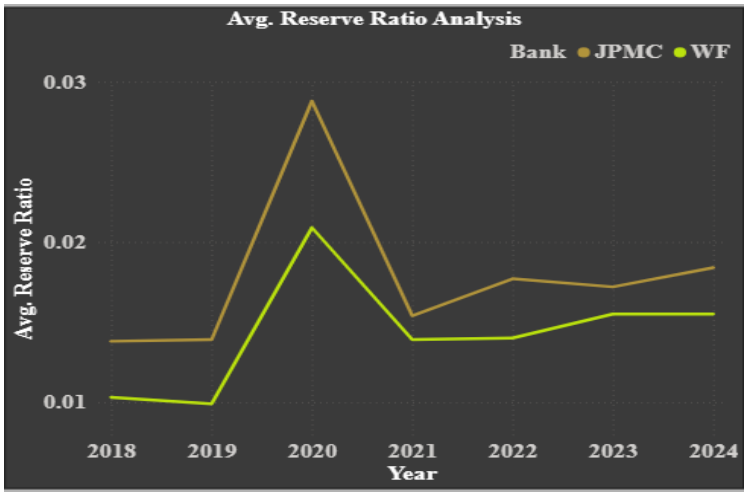
Provision Ratio = Provision for Credit Losses / Total Loans

Observations:

- Provision spikes observed around FY2020 for both banks.
- JPMorgan exhibits relatively higher provisioning relative to loans in stress periods.
- Post-shock normalization is visible.

Insight:
Provisioning reflects forward-looking risk management during systemic stress.

2.3 Reserve Ratio Analysis



Reserve Ratio = Allowance for Loan Losses / Total Loans

Observations:

- Reserve ratios increased significantly during FY2020.
- JPMorgan maintains relatively higher reserve coverage.
- Wells Fargo shows gradual stabilization post-shock.

Insight:
Higher reserve ratios indicate stronger credit risk buffering capacity.

2.4 Credit Discipline Interpretation

Key Takeaways:

- Both banks strengthened reserves during stress periods.
- JPMorgan maintained more consistent reserve coverage.
- Wells Fargo's reserve behavior reflects governance recalibration during restructuring.

3.1 Objective

This section evaluates structural governance quality using earnings volatility, profitability consistency, and operational efficiency metrics.

3.2 Earnings Stability Comparison

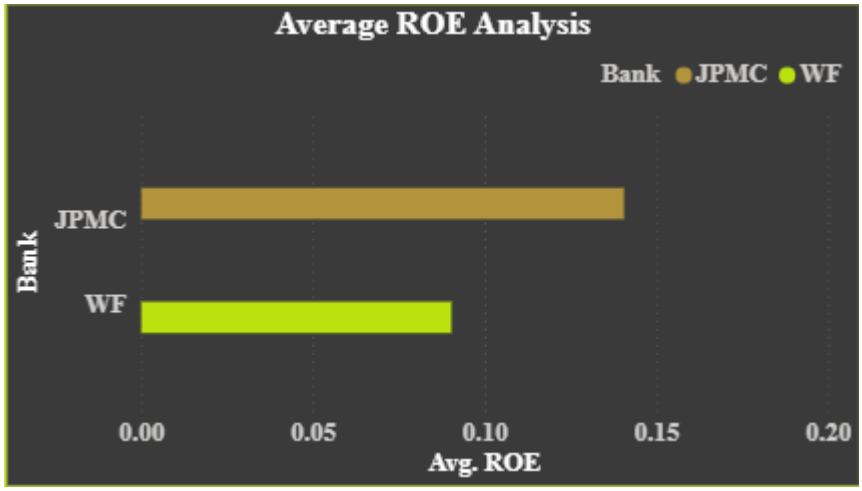
Earnings volatility measured using standard deviation of net income.

Observations:

- JPMorgan shows higher absolute volatility due to larger earnings base.
- Wells Fargo demonstrates significant fluctuation during restructuring phase.

Insight:
Volatility must be interpreted relative to earnings scale and structural changes.

3.3 Average ROE Comparison

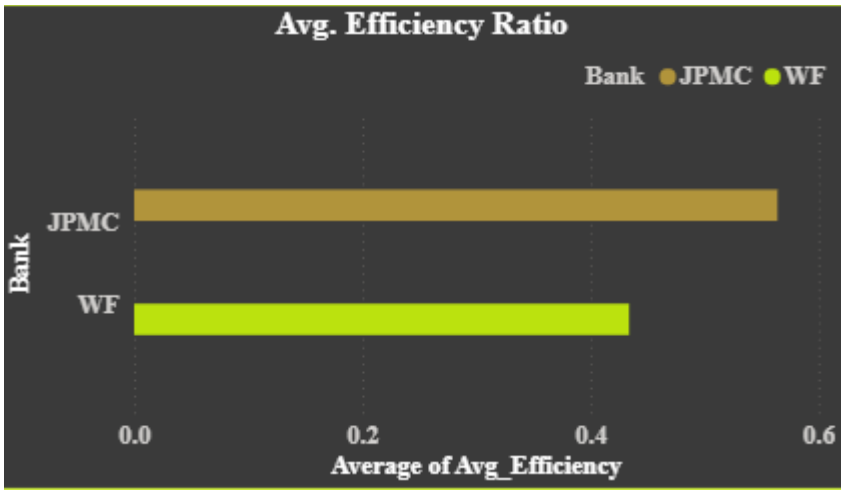


Observations:

- JPMorgan maintains stronger average ROE.
- Wells Fargo reflects recovery-driven improvement.

Insight:
Higher average ROE combined with lower variability reflects stronger governance discipline.

3.4 Average Efficiency Ratio Comparison

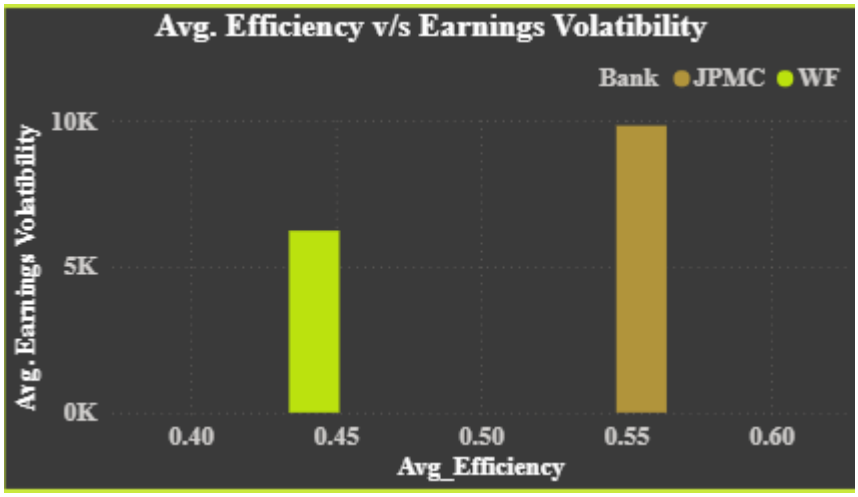


Observations:

- JPMorgan maintains operational efficiency stability.
- Wells Fargo shows greater variability in cost structure.

Insight:
Operational consistency aligns with governance maturity.

3.5 Efficiency vs Earnings Volatility



Observations:

- JPMorgan balances efficiency with relatively controlled volatility.
- Wells Fargo exhibits higher volatility relative to efficiency metrics during earlier years.

Insight:
Governance quality is reflected not only in returns but in consistency and cost discipline.

Final Conclusion

The comparative analysis reveals two distinct governance profiles:

JPMorgan Chase:

- Demonstrates stable profitability
- Maintains disciplined capital allocation
- Shows consistent operational efficiency
- Sustains structured credit reserve management

Wells Fargo:

- Exhibits recovery-driven improvement
- Demonstrates structural stabilization over time
- Shows improved profitability following volatility

Overall Assessment:

JPMorgan reflects stable compounding governance performance, while Wells Fargo reflects a governance adjustment trajectory transitioning toward stability.

This framework demonstrates how multi-year financial data, when structured through SQL and visualized via Power BI, can be used to assess governance quality, profitability sustainability, and credit risk discipline in large banking institutions.